

with a standard deviation of 19.3%, while five-year Treasury bonds had a 7.7% return and a 4.3% standard deviation.

MANAGED COMMODITY FUTURES

Much of what I said about passive commodities is also applicable to actively managed commodity futures. Managed futures typically use trend-following methods to participate on both the long and the short side of the commodity futures markets. However, any excess return earned from actively managed futures trading is still dependent on capturing risk premium from commercial hedgers, or it comes from the difficult task of outsmarting other speculators.

In the 1980s, when I successfully managed commodity pools, there was an abundance of roll premium available for speculators. This allowed many commodity-trading advisors to prosper. In recent years, however, many more speculators have entered the marketplace to compete with one another for the same trend-following profits. This has made it much more difficult to earn attractive risk-adjusted returns. The situation is now similar to active stock management, where those with the same information are competing with one another to gain an edge. With equities, however, there is an upward drift in stock prices and a proven risk premium. This is, unfortunately, not the case with commodities.

Despite these sobering facts, according to Barclays Hedge, the amount of assets in managed futures grew from \$50.9 billion in 2007 to \$325 billion in 2014. This accounts for 15% of the entire hedge fund industry. What is especially surprising about this is that the average managed futures return since 2007 has been negative with the rolling annual return being negative now for 21 straight months.

It could be that increased participation in managed futures has much to do with the propensity of institutional investors to diversify aggressively in recent years no matter what the consequences. The average U.S. college endowment fund, for example, now has 54% of its assets in alternative investments and only 15% in U.S. stocks. Sovereign funds have also greatly stepped up their allocations to alternatives. I call this the “everything but the kitchen sink” approach to investing. So what exactly has happened with managed futures since this onslaught of additional capital?